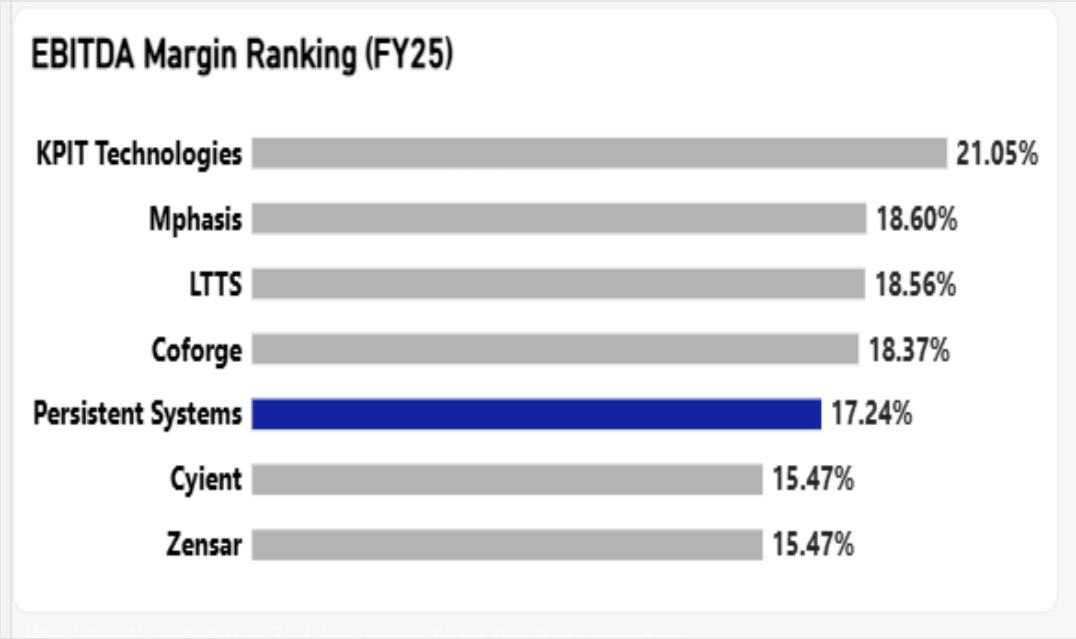
IT Peer Benchmark & Strategic Gap Analysis

Moving from High Growth to Profitable Growth

Presented by: Bittu singh

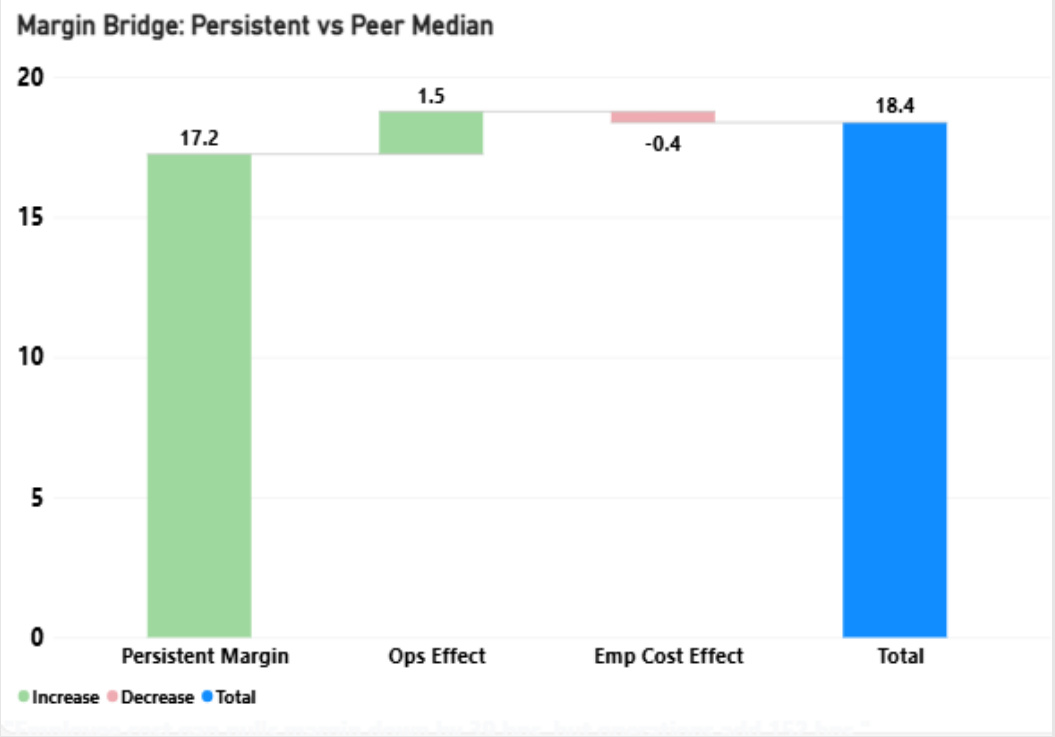
The Landscape: Growing Fast, but Lagging in Profitability

- **Our Strength (Growth):** We have the 2nd highest 5-year Revenue CAGR of **23.3%**.
- **The Paradox (Profitability):** Despite high growth, FY25 EBITDA Margin is **17.24%** (Ranked 5th out of 7 peers).
- **The Benchmark:** The peer median margin is **18.37%**. We are leaving **113 bps** on the table.



The Core Findings: Operations Costs are the Main Culprit

- **The Surprise:** Employee Cost Ratio (57.61%) is better than the peer median (58.00%).
- **The Leak:** Operations/SG&A costs drag the margin down by **152 bps**.
- **The Strength:** Highest Revenue per Employee (₹48.54 Lakhs) shows strong workforce productivity.



Strategic Recommendations: Path to 20%+ Margin

- **1. Streamline Operations (SG&A):** Implement Zero-Based Budgeting for admin/facility costs. *(Impact: +150 bps)*
- **2. Optimize Employee Cost:** 5% reduction via subcontracting & better utilization. *(Impact: +288 bps)*
- **3. Leverage High Productivity:** Negotiate value-based pricing for high-margin deals. *(Impact: Protect 23.3% growth)*

Next Steps: Pilot, Measure, and Scale

- **Immediate Action:** Run a 4-week pilot in the Delivery department to test the 5% cost reduction.
- **Tracking:** Use the Power BI dashboard to monitor the Margin Bridge monthly.
- **Financial Goal:** Increase EBITDA margin to **19.5% - 20% by FY27** (Additional ₹500+ Cr EBITDA)

Thank You

- **Questions & Discussion**